

Meenava Thanthai K R Selvaraj Kumar ... vs The Director Ministry Of Environment ... on 8 July, 2022

Bench: K Ramakrishnan, K. Satyagopal

Item No.1:

BEFORE THE NATIONAL GREEN TRIBUNAL
SOUTHERN ZONE, CHENNAI
Original Application No. 234 of 2017 (SZ)
(Through Video Conference)

IN THE MATTER OF:

Meenava Thanthai K.R. Selvaraj Kumar

...Applica

With

The Director, MoEF&CC and Ors.

...Respondent

Date of hearing: 08.07.2022.

CORAM:

HON'BLE MR. JUSTICE K. RAMAKRISHNAN, JUDICIAL MEMBER

HON'BLE DR. SATYAGOPAL KORLAPATI, EXPERT MEMBER

For Applicant(s): Mr. Stanley Hebzon Singh

For Respondent(s): Mr. G.M. Syed Nurullah Sheriff for R1 and R2
Mr. D.S. Ekambaram through Ms. P Jayalakshmi
for R3
Dr. D. Shanmuganathan for R4 to R6, R9 and R10
Mr. Sai Sathya Jith for R7.
Mr. P. Saranath for R12

ORDER

1. Judgment pronounced through Video Conference. Application is disposed of with directions vide separate Judgment. All pending interlocutory application(s), if any, also stands disposed of, in view of the disposal of the Application.

.....J.M. (Justice K. Ramakrishnan)E.M. (Dr. Satyagopal Korlapati) O.A. No. 234/2017 (SZ) 8th July, 2022. (AM) BEFORE THE NATIONAL GREEN TRIBUNAL SOUTHERN ZONE, CHENNAI Original Application No.234 of 2017 (SZ) (Through Video Conference) IN THE MATTER OF:

Meenava Thanthai K.R. Selvaraj Kumar, Meenavar Nala Sangam Represented by its president, M.R. Thiagarajan, S/o Late, C. Rajalingam, Office at No. 15/8, A.J. Colony, Royapuram, Chennai- 600 013 ...Applicant(s) Versus

1. The Director, Ministry of Environment, Forest & Climate Change, Indira Paryavaran Bhavan, Jor Bagh Road, Aliganj, New Delhi- 110003.
2. The Chairman, National Coastal Zone Management Authority, Government of India, Ministry of Environment, Forest and Climate Change, Agni wings, Fifth Floor, Indira Paryavaran Bhawan, Jor Bag Road, New Delhi- 110003
3. The Member Secretary, Central Pollution Control Board, Parivesh Bhavan, CBD Cum office complex, East Arjun Nagar, New Delhi- 110032
4. The Principal Secretary to Govt, Government of Tamil Nadu, Environmental Department, St. George Fort, Chennai- 600009
5. The Director, Department of Environment, Panagal Building, Saidapet, Chennai- 600015
6. The Member Secretary, Tamil Nadu State Coastal Zone Management Authority, Panagal Building, Saidapet, Chennai- 600015
7. The Member Secretary, Tamil Nadu Pollution Control Board, No. 76, Anna Salai, Guindy, Chennai- 600032
8. The Member Secretary, Chennai Metropolitan Development Authority, Gandhi Irwin Salai, Egmore, Chennai- 600 008
9. The Director, Directorate of Industrial Safety and Health, T.S. No. 47/1, SIDCO Industrial Estate, Near Metro Water Roundana, Guindy, Chennai- 600032.
10. The District Collector, Collectorate of Chennai District, Chennai District.
11. The Commissioner, Corporation of Greater Chennai, Ripon Buildings, Chennai- 600003
12. M/s. St. Peter and Paul Sea Food Export Private Limited, Representing by its Managing Director, No.11A, New Thiruvallur Nagar, Royapuram, Chennai- 600013 ...Respondent(s) For Applicant(s): Mr. Stanley Hebzon Singh For Respondent(s): Mr. G.M. Syed Nurullah Sheriff for R 1 and R2 Mr. D.S. Ekambaram through Ms. P Jayalakshmi for R3 Dr. D. Shanmuganathan for R4 to R6, R9 and R10 Mr. Sai Sathya Jith for R7.

Mr. P. Saranath for R12 Judgment Reserved on: 28th April, 2022.

Judgment Pronounced on: 8th July, 2022.

CORAM:

HON'BLE MR. JUSTICE K. RAMAKRISHNAN, JUDICIAL MEMBER HON'BLE DR. SATYAGOPAL KORLAPATI, EXPERT MEMBER Whether the Judgement is allowed to be published on the Internet - Yes/No Whether the Judgement is to be published in the All India NGT Reporter - Yes/No JUDGMENT Delivered by Justice K. Ramakrishnan, Judicial Member.

1. The grievance in this application is regarding the violations committed by the 12th respondent in establishing their fish processing unit in a coastal zone in violation of the provisions of the Coastal Regulation Zone Notification, 2011.

2. It is alleged in the application that the applicant is an environmentalist and working for the welfare and upliftment of fishermen community in State of Tamil Nadu especially in Royapuram and nearby coastal areas.

3. 12th respondent a private limited company situated at No. 11A, Thiruvallur Nagar, Royapuram, Chennai- 600013 has been performing the business in the nature of processing and exporting sea foods mainly Octopus, Squid (Kadamban) and Prawns. This private limited company building is having ground floor and two floors which is situated in sea shore side of the existing roads within the CRZ zone. This building is constructed without any planning permission from the local authority, Chennai Corporation or CMDA. Since, it is located on the seashore side of the existing road, permission has to be obtained from the coastal zone authority in other words CRZ clearance has to be obtained for construction of such building but they have not obtained clearance so far. The activity of the 12th respondent is purchasing of the sea food, namely, the octopus, squid and prawn in lot and those marine foods are being transported to various countries in and outside India after processing. While in the process of cleaning the sea foods, the blacky fluid of octopus and squid with large quantity is poured into the seashore which affects the seashore environment and also the wealth of the sea water.

There was no drainage facility provided for drainage of waste water generated during cleaning process and on account of the same, it is being stagnated into a big pond in and around this area and bad odour is coming out of the same. On account of which, it pollutes the environment particularly air and water.

4. Though, there was pollution caused on account of the activities of the 12th respondent no action was taken by the State or Pollution Control Board though, consent was obtained from the Pollution Control Board as required under the Section 21 of the Air (Prevention and Control of Pollution) Act,

1981 and Section 25 of the Water (Prevention and Control of Pollution) Act, 1974. More than 100 persons are working in the unit.

5. The association obtained information from the Environment Department through RTI dated 11.09.2017 stating that no clearance was issued for this unit. They also received reply dated 31.08.2017 under Right To Information Act from Tamil Nadu Pollution Control Board in which it was stated that no consent was given for running this unit. From CMDA Authority vide reply dated 05.09.2017, informed that no permission was given for building construction. So complaints were made to the authorities on 20.09.2017 for taking appropriate action but no action was taken so far. It was also revealed that 12th respondent unit was consuming more than 10 KLD water per day in CRZ area without any valid permission. Since no action was taken by the authorities the applicant had no option except to approach this Tribunal seeking the following both interim as well as main relief:

Interim Relief

- i) To restrain the unit of the 12th respondent from taking ground water in the CRZ Zone for its use.
- ii) Restraining the unit of the 12th respondent from discharging the wastage of the sea food in the process of cleaning into the sea.
- iii) To direct the 7th respondent to remove and clean the dust, wastes, of the sea foods dumped in and around the unit of the 12th respondent at the cost of the unit.
- iv) To restrain the unit of the 12th respondent from functioning or performing the process of cleaning, dressing the sea foods.
- v) To restrain the 12th respondent not to grant any consent under Water Act and Air Act in favour of the unit of the 12th respondent.
- vi) To pay interim compensation to the affected local residents, eco system people, fishermen community due to act of unit of the 12th respondent.
- vii) To appoint an Advocate Commissioner to examine the polluted activities of the unit of the 12th respondent and to file a report before this Hon ble Tribunal, pending disposal of the above main application.

Main Relief

- i) To direct the 7th respondent to take action under Water Act and Air Act and to close the unit of the 12th respondent.

ii) To restore the environment and to ensure healthy environment in and around of the unit of the 12th respondent at the cost of 12th respondent.

iii) To direct the 7th respondent to impose penalty on the unit of the 12th respondent and also to pay compensation to the eco system people, for polluting the water, air and environment etc.

iv) To direct the 7th respondent to take penal action under water and air act for the contravention of Section 21 of the Air Act and Section 25 of the Water Act.

6. 3rd respondent filed counter affidavit contending that the Central Pollution Control Board has no role in implementation of CRZ Notification in respect of granting or issuing any clearance either under the CRZ Notification, 1991 or 2011 or under the Environment Impact Assessment Notification, 2006. State Pollution Control Board is empowered to issue consent under the Air (Prevention and Control of Pollution) Act, 1981 and of the Water (Prevention and Control of Pollution) Act, 1974. MoEF&CC, Government of India has notified effluent discharge standards for sea food industry dated 21.02.1991 and revised standards on 28.10.2016 evidenced by the annexure enclosed. All sea food industries have to comply with the notified standards. Concerned State Pollution Control Boards are primarily responsible for enforcement of these standards and to take action against the industrial units operating in the State without obtaining consent. They have not received the complaint said to have been sent by the applicant on 20.09.2017. They prayed for accepting their contentions and passing appropriate orders.

7. Respondents 1 and 2 filed their counter contending that the exercise of powers conferred by sub-section (1) and Clause (V) of Sub-Section (2) of Section 3 of the Environment (Protection) Act, 1986 read with Clause (d) of Sub-Rule (3) of Rule 5 of the Environment (Protection) Rules, 1986, Ministry of Environment and Forest had notified the Coastal Regulation Zone Notification, 1991 on 19th February, 1991 which inter- alia provided classification of Coastal Regulation Zone areas and norms for regulating developmental activities therein.

8. The notification was subsequently superseded by the Coastal Regulation Zone Notification, 2011 issued vide S.O. No. 19 9E) dated 6th January, 2011. It was issued with the objective to conserve and protect the coastal stretches by regulation of developmental activities along the coastal stretches and to ensure livelihood security to the fisher communities and other local communities, living in the coastal areas. CRZ Notification, 2011 was amended from time to time based on representations received and a need was felt overtime to undertake a comprehensive revision of the notification on the basis of number of representation from various coastal States and Union Territory Administrations, besides other stakeholders.

9. Para 3(iii) of the CRZ Notification, 2011 prohibits setting up and expansion of fish processing units including warehousing except hatchery and natural fish drying in the CRZ areas. Processing of sea foods within the CRZ areas as alleged in the present application constitutes violation of CRZ regulations and the State Coastal Zone Management Authority is duty bound to take appropriate action in accordance with law. For the purpose of implementation and enforcement of the provisions of the CRZ Notification, 2011 and compliance with the conditions stipulated thereunder,

the powers either original or delegated are available under the Environment (Protection) Act, 1986 with the State Government and the State Coastal Zone Management Authority. The composition, tenure and mandate of State, UT, CZMAs have been notified from time to time by the Ministry.

10. The CRZ Regulations are to be implemented and monitored including violations thereof by the concerned State Coastal Zone Management Authority in accordance with approved CZMPS of the respective State. They prayed for accepting their contentions and passing appropriate orders.

11. Respondents 5 and 6 filed counter affidavit through the Director of Environment and Member Secretary Tamil Nadu State Coastal Zone Management Authority. The allegation in the application was that 12th respondent- M/s St. Peter and Paul Sea Food Export Pvt. Ltd. has engaged in the business in the nature of processing and exporting sea foods mainly octopus, squid and prawns in Royapuram, Chennai District and they were consuming more than 10 KLD water per day in CRZ area without any valid permission. MoEF&CC, Government of India had promulgated CRZ Notification, 2011 on 06.01.2011 in supersession of CRZ Notification, 1991 which imposed with effect from the date of the notification restrictions on the setting up and expansion of industries, operations, processes and the like in the CRZ area.

12. As per the CRZ Notification, 2011 vide Para 3(iii) Setting up and expansion of fish processing units including warehousing is prohibited activities. Further, facilities required for local fishing communities such as fish drying yards, auction halls, net mending yards, traditional boat building yards, ice plants, ice crushing units, fish curing facilities and the like were only permissible activities in CRZ-III as per CRZ Notification, 2011 vide Para 8 III (iii) (1). However, the project site is falling in CRZ- II and as such the above said activities are not permissible in CRZ-II and hence the fish processing activities are prohibited activities as per the CRZ Notification, 2011.

13. 12th respondent had not submitted any application for clearance under CRZ Notification, 2011 to the Tamil Nadu State Coastal Zone Management Authority for approval. The applicant sent an representation against the 12th respondent and a copy of the representation has been sent to Corporation of Chennai and Convener, District Coastal Zone Management Authority for CMDA areas to take action vide letter dated 11.11.2017 of the Member Secretary, Tamil Nadu Coastal Zone Management Authority.

14. Government of Tamil Nadu had constituted District Coastal Zone Management Authorities for all the coastal districts in G.O. Ms. No. 163 Environment and Forests Department dated 09.06.1998. The District Environmental Engineer of the Tamil Nadu Pollution Control Board is the Convener of the District Coastal Zone Management Authority and is the appropriate authority to take action. In respect of Corporation, the CMDA areas and the Corporation of Chennai have been made responsible for the enforcement of provisions of CRZ Notification, 2011 vide proceedings of the Member Secretary, Tamil Nadu State Coastal Zone Management Authority in proceedings no. P1/443/2011 dated 16.02.2012 as resolved by the Tamil Nadu State Coastal Zone Management Authority in the 65th meeting held on 10.02.2012.

15. In the 79th meeting of the Tamil Nadu State Coastal Zone Management Authority held on 18.08.2014 the matter was again discussed and as resolved all District Coastal Collectors, District Coastal Zone Management Authorities, CMDA, Corporation of Chennai are responsible for identification of violations and to take action on the violators. They prayed for accepting their contentions and passing appropriate orders.

16. Additional affidavit was filed by the respondents 5 and 6 reiterating the earlier contentions and also reproducing the earlier contentions. It was further mentioned that the District Coastal Zone Management Authorities are entrusted with the following responsibilities in their respective jurisdictions as per G.O. Ms. No. 163 dated 09.06.1998 which reads as follows:

a) To be responsible for monitoring and enforcement/implementation of the provisions of the Coastal Regulation Zone Notification.

b) To ensure that the activities within Coastal Regulation Zone take place as per the approved Management Plan.

c) To assist the State Authority in undertaking the sponsored investigation and research activities in relation to protection and conservation of coastal environment.

d) To advice the State Government on any matter relating to protection and control of pollution in coastal areas.

e) To act as an Authority under Section 4 of Coastal Regulation Zone Notification, 1991 dated 19.02.1991 for taking action on Coastal Regulation Zone Plan violations.

f) To coordinate the activities of the coastal zone management committees of various coastal areas and to provide guidance.

17. In respect of CMDA areas, the CMDA and the Corporation of Chennai have been made responsible for the enforcement of provisions of CRZ Notification, 2011 vide proceedings of the Member Secretary, Tamil Nadu State Coastal Zone Management Authority in Proceedings No. P1/443/2011 dated 16.02.2012 as resolved by the Tamil Nadu State Coastal Zone Management Authority in the 65th meeting held on 10.02.2012. The same was again discussed in the 79th meeting held on 18.08.2014 and the same has been reiterated. So they prayed for accepting their contentions and passing appropriate orders.

18. 12th respondent filed counter affidavit contending that the application is not maintainable and filed by the applicant without any bonafides. That was filed with some malice against the 12th respondent as they were not amenable for the illegal demand made by the applicant.

19. It was contended that the 12th respondent was involved in the business of grading, packing and loading of sea food. This essentially involves arranging the fishes by size and variety and transporting the same to the processing unit of the entity, which is located in Periyapalayam.

20. Initially the business was run by one Mr. Rathinaraj, who had started the business in the year 1970 in the name and style of „Little Marine . On perusal of the records on the website of the Greater Chennai Corporation- property tax, it was inferred that property tax was being paid since 1980 for the building situated at No. 11A, New Thiruvallur Nagar, Royapuram, Chennai- 600013. Ever since, the purchase of the aforementioned building he had been running the unit in the same premises for grading and loading of sea food. At this juncture, it is pertinent to note that the said Rathinaraj had purchased the said building with the ground floor and no modifications whatsoever had been made to the said floor ever since its purchase. The property is located 350 meters away from the sea. It is trite to point out that the state highway SH-114 is situated in between the sea and the place of business.

21. His father had purchased the said property vide sale deed dated 12.07.2002. Ever since, his father had been running the same business. In and around 2008, he had stepped foot in the father's business and decided to undertake and oversee the day to day management and administrative affairs of the firm. Even at that time, they were involved only in the process of grading, packing and loading of sea foods. At no point of time, the firm carrying on the business at Royapuram which involved the processing of sea foods in the said unit.

22. In and around 2011, the idea of starting a private limited company popped up in his mind and accordingly, he had registered the 12th respondent company with the Registrar of Companies and procured a certificate of incorporation on 30.04.2011. The registration number of the 12th respondent with the Registrar of Companies is 80387 and was allocated CIN no. U05000TN2011PTCo80387.

23. After inception of the company, the applicant had demanded a sum of Rs. 12 lakhs for the welfare of the association which was refused by the 12th respondent. Thereafter, they demanded Rs. 2 crores and threatened that they would file a case against the company if they did not budge for their unreasonable demands. All these demands were made through phone calls only. When they refused to pay the same, the applicant started filing multiple cases against the respondents and its sister concern and started incessantly harassing the company and its employees which has resulted in hardship to the 12th respondent.

24. They had given the activities and the particulars of business carried on by the 12th respondent and its sister concern in the tabular form which reads as follows:

25. The applicant has filed this case against St. Peter and Paul Sea Food Exports Pvt. Ltd., which carries out business in Periyapalayam. The application was filed without any documents and proofs. 12th respondent is in the business of export of fishes to over 12 countries and has garnered turnover of over 100 crores in the last 02 financial years. The 12th respondent has been excelling in its business in a highly competitive environment and through sheer hard work and putting in hours of work has achieved such status. The application was barred by limitation as the activities of the 12th respondent started long ago and it was not situated in CRZ-II but it is situated about 350 meters away from the sea and intercepted by multiple roads between the premises and the sea. There is a highway adjoining the sea and the provisions of the CRZ have no application whatsoever. The CRZ

regulation does not apply for the structure in which the 12th respondent's sister concern is having the building solely for the purpose of segregation the fishes on the basis of quality and for resting of the employees concerned.

26. The existence of a State Highway SH-114 connecting Chennai- Manali-Ennore is located in between the sea and the 12th respondent unit. In the decision reported in Institute of Social Welfare Vs. State of Kerala and ors.1, Citizens Interest Agency Vs. Lakeshore Hospital & Research Centre Pvt. Ltd. 2 and Citizen Consumer and Civil Action Group vs. Union of India and Ors.3 it has been observed that mere existence of a State Highway is a major factor owing to which the CRZ regulations would have no application whatsoever.

27. The applicant had failed to understand the basic principles with respect to application of CMDA rules as well. The construction of the building in the present case was prior to 1970 and the building is over 50 years old. The Division bench 1997(2) K.L.J. 153 2003 (3) KLT 424 2002 (3) L.W. 393 of the Madras High Court has held the need to produce the planning permission for 50 year old building need not be insisted upon taking into consideration the near impossibility of retaining it. Therefore prayer to direct the demolition of the structure is far beyond the powers of the Corporation or the CMDA and consequently no directions could be issued. Moreover said building can be regularized even at a later point of time as the law permits ex-post facto regularization.

28. He has reiterated the same contentions while answering the para-wise allegations made in the application. Even since the inception of the 12th respondent they are regularly maintaining all the records and paying all necessary tax including drainage tax, property tax etc. There was no evidence to show that sewage is mixed with the sea water by the 12th respondent. They were paying tax amount towards the Chennai Metropolitan Water Supply and Sewerage Board until 2021. So the allegations that there is existence of a big pond with stagnated water made in the application are without any basis.

29. On account of the closure of the unit more than 25 people employed will be losing the employment. The formula adopted for fixing the compensation is also not sustainable. No report have been called for regarding the time of construction, the necessary procedure has not been adopted for taking sample, segregation the fish on the basis of the size does not attract provisions of the Air (Prevention and Control of Pollution) Act, 1981, the Water (Prevention and Control of Pollution) Act, 1974 and the Environment (Protection) Act, 1986. There were more than 500 such centres working in that area and identifying this respondent alone reflect the malafides on the part of the applicant in filing the application. The respondent should be aware of the term process involves a manufacture or subjecting a good to a treatment. In Chambers Twentieth Century Dictionary, „process as a noun has been defined as a state of being in progress or being carried on, a sequence of operations or changes undergone. Segregating the fishes based on the variety and size does not amount to process or processing. Nothing is being done in the premises except to segregate and remove it for processing in the registered factory at Periyapalayam. So they prayed for dismissal of the application.

30. The applicant filed rejoinder to the counter affidavit filed by the 12th respondent contending that the Committee appointed by this Tribunal had confirmed all the allegations made by the applicant in the application and imposed an Environmental Compensation of Rs. 30 lakhs and the same was accepted and paid by the 12th respondent. The reply filed by the 12th respondent after 5 years would not stand in the eye of law in so far as the allegations already admitted by the project proponent in the earlier occasions. The applicant had primarily taken the following grounds in the application, namely, 1) prohibited activity i.e. sea food processing established and run by 12th respondent in CRZ zone, 2) CRZ clearance has not been obtained by the 12th respondent for the construction of commercial building consist of ground floor and two floors, 3) no effluent treatment plant erected by 12th respondent to treat the effluents, 4) discharge and dumping of solid and liquid effluent directly into the sea and 5) illegal drawl of ground water in the impugned site.

31. It is seen from the counter affidavit filed by the 12th respondent that they have established and carried out prohibited activity, namely, grading, packing and loading of sea food in the impugned site of CRZ area which was fairly conceded by them. It was also admitted by them that it was being done from 1970 onwards and that will have to be taken note of for the purpose of imposing exemplary Environmental Compensation based on the decision in Bajri Lease Loi Holders Welfare Society vs. State of Rajasthan applying the "Polluter Pays" principle. No documents have been produced by the project proponent to substantiate the allegations made in the counter affidavit. The allegation that it was malicious on the part of the applicant for not meeting the demands made is an afterthought which was raised after nearly 5 years of filing the application and no complaints were filed against the applicant for making such demands before any of the forum.

32. The applicant had filed several applications before this Tribunal in respect of Ennore Ship Collide, NLC blast, Cuddalore and in respect of various violations of CRZ Notifications as O.A. No. 225 of 2016 and the documents produced by him will go to show the lead taken by him in making awareness for protecting environment.

33. The applicant also produced a document the communication received from District Environmental Engineer, Tamil Nadu Pollution Control Board, Arumbakkam, Chennai vide letter no.DEE/TNPCB/CHN/CM CELL-123104/CM-38/2017 dated 11.10.2017 regarding action taken on the basis of the complaint received from the office of the Chief Minister Cell that the unit was inspected on 28.09.2017 by the officials of the Tamil Nadu Pollution Control Board and on the basis of the observations noticed during inspection, show cause notice was issued to the M/s St. Peter and Paul Sea food Experts Pvt. Ltd. No. 11A, New Thiruvallur Nagar, Royapuram, Chennai- 600013 by their office proceedings dated 03.10.2017. It was noticed that no such sea food processing activity was carried out at No.61/30, 2nd Street, Kasi Garden, Royapuram, Chennai- 600013.

34. The matter was admitted on 25.10.2017 and thereafter it was being adjourned for the purpose of completion of pleadings. The matter was taken up on 27.01.2020 and after considering the pleadings and documents produced, this Tribunal had appointed a Joint Committee comprising of the District Collector, Chennai, State Coastal Zone Management Authority and Tamil Nadu Pollution Control Board to look into the allegations made in the application and submit a report after making necessary inspection as to whether the allegations were true and if so what was the

nature of action taken against the violators. The Tamil Nadu Pollution Control Board was designated as nodal agency for coordination and providing necessary logistic.

35. The matter was adjourned from time to time for getting the report either at the request of the parties or by notification. On 12.09.2020, this Tribunal had considered the report submitted by the Joint Committee dated nil received on 11.09.2020 which reads as follow:

"Report on M/s. St. Peter & Paul Sea Food Exports Private Ltd. No.11A, New Thiruvalluvar Nagar, Royapuram, Chennai - 600

013. A case was filed before the Hon ble National Green Tribunal, Southern Zone, Chennai, vide Original Application No.234 of 2017 (SZ) by Meenava Thanthai K.R. Selvaraj Kumar, Meenavar nALAR Sangam represented by its President, M.R. Thiyagarajan, office at No.48, First Floor, East Madha Church Street, Royapuram, Chennai - 600 013 with the grievance that the unit M/s. St Peter & Paul Sea Food Exports Pvt. Ltd. is conducting a sea food export industry at No.11A, New Thiruvalluvar Nagar, Royapuram, Chennai - 600013, which is within the CRZ area without necessary clearance from the CRZ authority, dumping the sea food waste in that area and also extracting ground water without getting necessary permission from the consent authorities. These activities cause air as well as air pollution. Hon ble NGT (SZ) in order dated 27.01.2020 in O.A. No.234 of 2017 (SZ) "Constituted a committee comprising of District Collector, Chennai, State Coastal Zone Management Authority and the Tamil Nadu State Pollution Control Board (TNSPCB) to look into the allegations made in the application and submit a report after making necessary inspection as to whether the allegations are true and if so what is the action taken by them against the violators to this Tribunal within a period of two months".

Based on the orders of the Hon ble NGT (SZ), Chennai, a joint committee comprising the following members was constituted to inspect and file the report:-

- 1) Revenue Divisional Officer, Chennai North, Chennai District (Representing District Collector, Chennai)
- 2) Director, Institute of Remote Sensing, Anna University, Chennai - 25 / Member TNSCZMA (Representing TNSCZMA, Chennai)
- 3) District Environmental Engineer, TNPCB, Chennai.

It is submitted that, Thiru. M.R. Thiyagarajan, President, Meenava Thandai K.R. Selvakumar Meenavara Nala Sangam had filed complaint petition to the TNPCB regarding water pollution caused by the unit during September 2017. During inspection, it was observed that, the unit M/s. St Peter & Paul Sea Food Exports Pvt. Ltd located at No.11A, New Thiruvalluvar Nagar, Royapuram, Chennai - 600 013 was in operation without consent of the Board and the waste water generated by the unit was discharged into the underground drain without any treatment. The unit was advised to produce the land document of the unit in order to verify the applicability of the Coastal Regulation Zone Notification.

As the unit had not submitted the CRZ Clearance for that activity from competent Authority and operated without consent of the TNPC Board, direction for closure and disconnection of power supply to the unit was issued vide Proc. dated 06.07.2018 under Section 33A of the Water (P&CP) Act, 1974 as amended and under Section 31 A of Air (P&PC) Act, 1981 as amended. The EB service connection of the unit Ac. No.002-009-415 Tariff -V, was disconnected on 14.08.2018 as informed by TANGEDCO vide letter dated 18.08.2018. The unit was not in operation and no activity was carried out in that premises.

It is submitted that as per the orders of the NGT (SZ) the committee inspected the site on 18.07.2020. During committee inspection, the following were observed:

- 1) The building comprises of G+2 floor and terrace floor was found at that location. In one portion of the ground floor the unit has stored Empty Plastic drums and the another portion was kept idle. 1st and 2nd floor are provided with rooms and used as rest house and terrace floor provided with Water Tank & Toilet facility.
- 2) The ground floor was under closed condition and observed that, the unit was not in operation and no activity was carried out.
- 3) It was found that, EB service connection Ac. No.002-009-415 has been disconnected. However, the unit has provided with another 2 number of EB service connection in the ground floor.
- 4) A team from Institute of Remote Sensing, Anna University, Chennai - 25 has conducted a filed survey on the said location, to find out the co-ordinates of the site so as to superimpose in the existing CZMP (Coastal Zone Management Plan) maps to verify whether the site is located in CRZ area or not.
- 5) As per the field survey and the superimposition of the unit in the CRZ map, it is ascertained that the site is located in CRZ-II area wherein the activity of sea food processing is prohibited in that area. (Copy of IRS map is enclosed) During inspection, no violation were noticed as there was no activity carried out in that site, as the unit was closed vide TNPCB order dated 06.07.2018."

36. Thereafter, this Tribunal passed the following order:

6. It is seen from the report and also even from the pleadings that the unit was functioning in that area since 2014 and complaints were received regarding the same.
7. Further, it is also seen from the report that closure order was issued by Proceedings dated 06.07.2018 and electricity was disconnected on 14.08.2018. That shows that the activity was not in conformity of the environmental laws and also against the CRZ Notification, 2011 as the construction was made in that area which is a regulated area without getting prior permission from the Coastal Zone Management

Authority (CZMA) and the activity which was said to have been conducted by the unit was a prohibited activity in the CRZ Zone.

8. In spite of this, no action was taken by the Coastal Zone Management Authority (CZMA) even today either for removal of construction made without clearance in a regulated area and no attempt was made to recover the environmental compensation against that unit for conducting an unauthorized activity in an illegal manner in the prohibited zone.

9. However, the report shows that since there was no violation noticed on the date of inspection, no environmental compensation has been imposed. They have not considered the question of imposing environmental compensation for the past violation which is recognized under law as directed by the Hon'ble Apex Court in several decisions by applying the "Polluter Pays" principle to recover the compensation against those persons who are illegally carrying out their operation in the prohibited zones.

10. When this was pointed out, the learned counsel appearing for the Coastal Zone Management Authority (CZMA) submitted that he will come with a further report regarding the action taken in this regard. They are expected to follow the principle of natural justice while initiating proceedings against the persons who have committed the violation and they should not proceed with the initiation, without following the procedure under the cover of the direction to implement the law issued by this Tribunal.

11. The committee is also directed to revisit the question of compensation for past violation as directed by this Tribunal in several cases of this nature applying the formula evolved by the Central Pollution Control Board in this regard and also taking into the consideration the nature of damage caused to the coastal zone on account of such activities and the amount required for restoration of the same to its original position.

12. The committee can co-opt any expert member for the purpose of assessing environmental compensation if they feel and submit the report in this regard to this Tribunal.

13. In the mean time, Tamil Nadu Coastal Zone Management Authority is also directed to come with the action taken report for the violation noted in the report in accordance with law.

14. The committee as well as the Coastal Zone Management Authority are directed to submit the report as directed by this Tribunal on or before 26.11.2020.

15. We also feel that a Scientist from Central Pollution Control Board, Regional Office, Chennai can be added to the committee so that it will be helpful for the committee to assess the environmental compensation as directed by this Tribunal. So, the committee is reconstituted including a Scientist/Officer from the Central Pollution Control Board, Regional Office, Chennai as well.

37. Thereafter, the matter was again adjourned from time to time for getting further report as directed and expressed its displeasure for not submitting the report and reiterated the responsibility of the regulators and take pro-active steps in enforcing the environmental laws relying on the decision of the Hon ble Apex Court in Indian Council for Envrio-Legal Action vs. Union of India and Ors.4, Ansari Kannothe Vs. State of Kerala and Ors. 5 and Kerala State Coastal Zone Management Authority Vs. State of Kerala Maradu Municipality and Ors.6to file their respective action taken reports as directed by this Tribunal.

38. On 10.06.2021, this Tribunal had considered the report submitted by Tamil Nadu Pollution Control Board dated 23.03.2021 e-filed on 23.03.2021 extracted in Para 3 of the order which reads as follows:

..... 4. It is respectfully submitted that in pursuance to the said orders of the Hon ble Tribunal, the revised joint committee was constituted with the following members:

i. The RDO, Chennai North, Chennai District (Representing District Collector, Chennai)-member ii. Director, Institute of Remote sensing, Anna University, Chennai28/member TNSCZA (Representing TNSCZMA, Chennai)- Member iii.Thiru, R. Rajkumar, Scientist D, Central Pollution Control Board, Regional Directorate, Chennai-Member-CPCB. iv. Thiru, Dr. R. Umaykunjaram, District Environmental Engineer, TNPCB, Chennai.

The Committee assessed the environmental compensation for violation of the provisions of Environment (Protection) Act, 1986 considering the CPCB in house calculation methodology. Calculation of environmental compensation based on the CPCB guidelines:

Environmental Compensation Formula $EC = PI \times N \times R \times S \times LF$ Where EC = Environmental compensation PI = Pollution Index of Industry Sector N = Number of days of violation took place R = A factor of Rs for EC S = Factor for scale of operation LF = Location factor Environmental Compensation Formula = $PI \times N \times R \times S \times LF = 50 \times 320 \times 100 \times 0.5 \times 1.5 = 12,00,000/-$

The environmental compensation calculated by the committee as per the formula is Rs.12,00,000/- (Rupees Twelve Lakhs only) and same shall be imposed on the industry. The copy of Joint Inspection Report on environmental compensation for the violations committed by the Mls. St Peter Paul Sea Food Exports Pvt. Ltd., is

submitted herewith as Annexure-I. It is respectfully submitted that based on the assessment of the Environmental Compensation calculated by the Joint Committee, the TNPC Board has issued direction under Section 1996(5) SCC 281 2011 (1) KLT 1043 2019 (7) SCC 248 5 of the Environment (Protection) Act, 1986 to the Managing Director, Ms. St Peter Paul Sea Food Exports Pvt. Ltd., to remit environmental compensation of Rs.12,00,000/- (Rupees Twelve Lakhs only) to the Board vide proceeding dated 15.03.2021. The copy of Board proceeding dt.15.03.2021 is submitted herewith as Annexure-II.

Under the above circumstances, it is humbly prayed that this Hon'ble National Green Tribunal (Southern Zone) may be pleased to pass such further or other orders as this Hon'ble Tribunal may deem fit and proper in the facts and circumstances of this case thus render justice.

Joint Chief Environmental Engineer Tamil Nadu Pollution Control Board

39. Though, it was mentioned that Environmental Compensation of Rs. 12 lakhs has been assessed and proceedings has been initiated against the 12th respondent by issuing show cause notice. Since it was not mentioned about the further action taken for removal of the unauthorised construction and also the recovery of quantum of compensation, this Tribunal had passed the following order:

5. According to the Learned Counsel for the applicant, the unit is still functioning and no coercive steps/action have been taken by the regulators to prevent the functioning of the unit in the building which was unauthorisedly constructed. Further according to the Learned Counsel for the applicant environmental compensation assessed is also very meagre considering the nature of work conducted by them and profit that is earned by doing those activities.

6. The application was filed in the year 2017 alleging that the 12th respondent is conducting the unit in violation of CRZ Notification, 2011 but in spite of that the number of days of violation was taken as 320 days taking the date of violation from 28.09.2017 to 14.08.2018 when the violations was observed and power supply was disconnected. Learned Counsel appearing for the applicant submitted that the construction was itself illegal.

Though power supply of upstairs was disconnected, power supply of the lower downstairs is still available and unit is continuing its business using the power supply in the downstairs.

7. The State Coastal Zone Management Authority also did not come with any independent report as to what is the nature of action taken by them for construction of building in a CRZ Zone in violation of CRZ Notification, 2011 or whichever notification applicable during the date of construction.

8. The Regional Office of MOEF&CC, Chennai also did not come with any action taken report as it was brought to their notice that if the State Authorities are not strictly implementing the provisions of the CRZ, Notification in respect of this unit as on the last date of hearing, this Tribunal had

directed them to come with action taken report. Report of the Pollution Control Board is also silent about the same. If the construction was found prior to 2017 and activities of the unit is functional and going on in violations of the CRZ Notification, 2011, then the period of violation should have to be taken from the date of violations started and not from the date it was observed. Further going by the Polluter Pays Principle the amount imposed should be in consonance with the damage caused to the environment and the nature of violation and the amount of compensation must be detriment in nature even to the extent of preventing profits being earned by the polluter on account of those violations. Such an approach and principle is not taken by the Pollution Control Board while fixing the amount of environmental compensation as well. Further, since the construction itself was made against the CRZ Notification, 2011 for doing certain activity which is not permissible in that area, then damage caused on such activity should also have been taken into account while fixing the amount of compensation apart from taking the number of days for violations of conditions. Further, if any damage has been caused to environment on account of illegal construction against the CRZ Notification, 2011, then the amount required for restoring the same should also have been taken into consideration by the Authority while fixing compensation. All these crucial things were not considered by the Pollution Control Board while fixing the amount of environmental compensation.

9. We direct the Committee appointed by this Tribunal to re-visit the question of environmental compensation on the basis of the directions mentioned above and also direct the regulators to take appropriate action against the 9th respondent for committing violations of statutory provisions in making the construction and also causing damage to the environment for continuing with the activities in that area by resorting legal steps in accordance with law and submit a report to that effect as well. If the directions of this Tribunal are not complied with by the Authorities, then the officer responsible for executing or complying with the directions, will be made liable to face the consequences for noncompliance with the directions given by this Tribunal as contemplated under Section 25 and 28 of the National Green Tribunal Act, 2010. The Committee is also directed to ascertain as to whether the submission made by the Learned Counsel for the applicant that the unit is still functioning in the downstairs level of the building which was also a part [8] of the construction made in violation to the provisions of the CRZ Notification, 2011 and if so, what is the nature of action taken by the authorities against such violations as well.

10. The Committee as well as official respondents are directed to file their respective report to this Tribunal on or before 29.07.2021 by e-filing in the form of searchable PDF/OCR supportable PDF and not in the form of image PDF along with necessary hardcopies to be produced as per Rules.

40. The matter was again taken up on 14.09.2021 and on that date, the Tribunal considered the report submitted by the Tamil Nadu Pollution Control Board signed by the Environmental Engineer on 27.07.2021, e-filed on 07.08.2021. It was mentioned in the report that by virtue of the delegation of powers granted, the Chennai Metropolitan Development Authority has to issue planning permission for construction which is falling in CRZ-II areas and it is for the Greater Chennai Corporation and Chennai Metropolitan Development Authority had to take necessary action for demolition of building if it was done in violation of the CRZ Notification. This Tribunal also considered the report submitted by the Joint Committee dated nil e-filed on the date of hearing, namely, 14.09.2021, extracted in Para 3 of the order which reads as follows:

41. Since, the 12th respondent has entered appearance through the Learned Counsel, this Tribunal had granted time to the 12 th respondent to file their objections and counter, if any, and also directed the Coastal Zone Management Authority and the Chennai Corporation to file their independent action taken reports.

42. Heard the Learned Counsel for the applicant and Learned Counsel for the respondents.

43. The Learned Counsel for the applicant argued that the 12 th respondent was engaged in fish processing business in CRZ Zone which is not a permissible activity under clause (III) of the said notification. Though 12th respondent had a case that it was being done by their predecessor from 1970 onwards and ground floor was in existence during 1980 when it was purchased from the predecessor of the 12th respondent. The further constructions were made thereafter and when it was constructed whether any permissions were obtained or any clearance was obtained were not established by the 12th respondent as the burden is on them to prove that it was a permissible activity under the CRZ Notification and they have obtained all the permissions from the local body as well as authorities under the CRZ Notification.

44. Further the nature of activities carried on by the 12 th respondent will go to show that they have involved in fish processing and as such it is a prohibited activity. Even when the building construction was made in the CRZ Zone even if it is CRZ-II or III for other purposes, even then CRZ Clearance has to be obtained under Clause 8 of the said notification which they have not obtained. The allegation made against the applicant that there was a demand made claiming huge amount and since they were not amiable for the same, the complaint was filed is without any basis as no action was taken by the 12th respondent against the applicant for making such illegal demand so far.

45. The 12th respondent alone is involved in fish processing in a large scale in that area and other activities are being carried on by the traditional fishermen community in the traditional manners which are permitted under the CRZ Notification. Except certain categories provided under Clause III of CRZ Notification, no other activities are permissible activities. It is also seen from the report that they have not obtained any permission from the Pollution Control Board and there are lot of violations committed.

46. The Learned Counsel for the applicant had relied on the decisions report in Vellore Citizens Welfare Forum Vs. Union of India and Ors. 7 , AP Pollution Control Board vs. Prof. M. V. Nayudu and Ors. 8 , Hanuman Laxman Aroskar Vs. Union of India ad Ors. 9 for the preposition they are liable to pay compensation applying the Polluter Pays Principle and onus is on the person who alleges compliance and not on the applicant to prove the violations especially when report of the Joint Committee will go to show that it was in violation of the CRZ Notification that the construction was made. Further the documents produced by the 12th respondent itself will go to show that that the 1st floor, 2nd floor were constructed in the year 2016 and tax has been paid.

47. The applicant had also relied on the decision reported in Pidade Filomena Goncalves Vs. State of Goa and ors. 10 for the preposition that in order to protect the environment and ecology in the coastal area construction raised in violation of regulation cannot be likely to be condoned. In the

decision reported in Vaamika Island (Green lagoon Resort) Vs. Union of India¹¹ the necessity of protecting the coastal zone was reiterated and violations of CRZ notification cannot be taken lightly to condone.

48. It was further argued that it was seen from the report of the Pollution Control Board dated 28.09.2017 that during 1996 (5) SCC 647 1999 (2) SCC 718 2019(15) SCC 401 2004 (3) SCC 445 2013 (8) SCC 760 inspection it was noticed that the unit was carrying out cleaning, grading, beheading and washing of prawn which will amount to processing and when they inspected the area again on 24.01.2018 the unit was not in operation and no cleaning processing was carried out due to non-availability of raw material prawn and during inspection conducted on 09.02.2018 it was found that the unit was operating and it is thereafter the closure order was issued on 06.07.2018 and disconnection was made. The applicant had relied on the decision report in Regional Executive, Kerala Fishermen s Welfare Fund Board vs. Fancy Food and anr. 12 , Delhi Cold Storage (P) Ltd Vs. CIT 13 , Saraswati Sugar Mills Vs. Haryana State Board 14 , Commissioner of Income Tax New Delhi-IV Vs. M/s Gitwako Farma (I) Pvt. Ltd¹⁵ for the proposition that the activity of the 12th respondent will amount to processing which is a prohibited activity in support of their case.

49. The Learned Counsel appearing for the State Departments including the Coastal Zone Management Authority submitted that there is no document produced by the 12th respondent to show that the construction was there prior to 1991 in the same fashion and they have not produced any documents to show when the subsequent construction was made, whether any permission has been obtained from the authorities, what is the nature of construction made by them etc. Further, the 1995 (4) SCC 341 1991 (4) SCC 239 1992 1 SCC 418 2011 SCC Online Del 899: (2011) 332 ITR 471 documents produced by the 12th respondent will go to show that the alleged purchase was made only on the basis of sale agreement and in the schedule it was mentioned that it was only a shed. So the present construction was a new construction which was constructed without obtaining any necessary permissions after the alleged sale agreement. Further authorities have already taken steps and the 12th respondent is not entitled to get any mercy as the activities carried out by them are not permissible activities.

50. Learned Counsel for the MoEF&CC submitted that fish processing is not a permissible activity, even certain regulated activities will have to get clearance as per the CRZ notification and any construction made without CRZ Clearance will amount to violation and liable for action for said violation. So the contention of the 12th respondent that they are not liable for any of the action is without any basis.

51. The Learned Counsel appearing for Tamil Nadu Pollution Control Board argued that under the Water (Prevention and Control of Pollution) Act, 1974 any industry discharging trade effluent will come under the purview of the Water Act and Pollution Control Board has power to take action if there is violation of the Act and they are expected to take consent from the Pollution Control Board even assuming that it is not a processing unit if they discharge trade effluent. The 12 th respondent has no case that they are not discharging trade effluent and even according to them, they are discharging it into the public drain for which they are paying tax. Further the CRZ notification gives categories of activities which are not permissible, restrictive and permissible and each class will have

to be considered in its right perspective and if any violation was done on any of the categories, then the persons who have committed violation is liable to be proceeded against.

52. On the other hand, the Learned Counsel appearing for the 12th respondent argued that it is not a prohibited activity and they are not involved in processing but they are only grading and separating and packing it and it is being shifted to their processing unit which is located in a different place. Further, the buildings are permitted in CRZ-II area on the landward site on the existing or proposed roads and the existing authorised structures and this is being intervened by State highway and other roads and as such it is a permissible activity and the construction has to be in existing as per the Town and County Planning Regulation in respect of FSI and FAR norms and reconstruction also subject to FSI and FAR norms without change in use.

53. In 1997, the CRZ notification of 1991 was amended on 09.07.1997 and a proviso was added wherein an exemption was granted for existing fish processing unit for modernisation purposes permitting to utilise 25 per cent additional plinth area required for additional equipment and pollution control measures only subject to existing floor space index/floor area ratio norms and subject to the condition that the additional plinth area shall not be towards seaward side of the existing unit and also subject to the approval of State Pollution Control Board or Pollution Control Committee.

54. Further even in the CRZ-III, if the construction was made prior to the coming into force of 1991 notification, it was protected and there was no processing activity going on and as such the prohibition mentioned in the CRZ notification is not applicable. The word processing has not been defined in the CRZ Notification or in the pollution control laws or any of the environmental laws. In the absence of any definition the Tribunal cannot impose more restrictions by interpreting the same in a different manner to defeat the purpose of the notification. Further there are other such units functioning in that area and even the Government of Tamil Nadu had provided certain benefits for establishing such units by the fishermen community and the applicant had purposefully selected the 12th respondent alone for this purpose and that shows his malafides.

55. Further, the unit was in existence from 2012 onwards after they purchased and the applicant filed the application only in 2017 which is barred by limitation. Further the compensation granted is excessive and by virtue of the subsequent proceedings of the MoEF&CC certain regulatory mechanism has been provided to regulate the violations, if any, committed and he will be getting an opportunity for this purpose and there is no necessity to demolish the entire building as alleged as if at all, not admitted, certain constructions were made subsequently without clearance if it is required, that portion alone need to be demolished. He had relied on the decision reported in Citizens Interest Agency Vs. Lakeshore Hospital & Research Centre Pvt. Ltd.¹⁶, Institute of Social Welfare Vs. State of Kerala¹⁷, Citizen Consumer and Civil Action Group Vs. Union of India and Ors.¹⁸ and Kerala Fishermen's Welfare Fund Board Vs. Fancy Food and Anr.¹⁹ In support of his case.

56. Further the inspection and sampling was done not in accordance with provisions of the Air (Prevention and Control of Pollution) Act, 1981 and the Water (Prevention and Control of Pollution) Act, 1974 which is against Section 21(2) of the Water (Prevention and Control of Pollution) Act, 1974

and Section 11 of the Environment (Protection) Act, 1986 and the definition of trade effluent in Section 2(k) of the Water (Prevention and Control of Pollution) Act, 1974 is not applicable to the facts of the case as that is dealing with the industry which is involved in processing and merely washing of fish would not amount to operation as mentioned in the Act and failure to obtain approval is not illegal or prohibited but only thing is they would have to obtain consent and Board will have to issue the same with conditions. The quantum of compensation awarded is excessive without any basis and as such the same need not be 2003 (2) KLT 424 1997 (2) KLJ 153 2002 (3) LW 393 1995 (4) SCC 341 paid. So according to the Learned Counsel the application is not filed with bonafides and the same has to be dismissed.

57. Considered the pleadings, documents produced and submission made by the Learned Counsel for the parties including their written submissions and the reports submitted by the authorities as directed by the Tribunal.

58. The points that arose for consideration are:

1. Whether the 12th respondent had committed any violation of CRZ Notification or other environmental laws and whether they are liable to be proceeded against for the said violations?
2. Whether the application is maintainable and barred by limitation?
3. If there is any violation, then what is the nature of action to be taken against the 12th respondent?
4. What is the nature of further directions to be issued to protect environment applying the Polluter Pays Principle, Sustainable Development and Precautionary Principle?
5. Whether the 12th respondent is liable to pay Environmental Compensation, if so what is the quantum of compensation payable?
6. Relief and Costs?

Points

59. The case of the applicant in the application was that 12th respondent had involved in the business of processing of sea food, namely, octopus, squid and prawn which is a prohibited activity in CRZ area. The constructions were also made by the 12th respondent without getting clearance under CRZ Notification and in spite of complaints made no action was taken, that prompted the applicant to file the application.

60. The 12th respondent had contended that their unit was not involved in fish processing or processing activity which alone is prohibited, they are only grading and packing the same which will

not amount to processing as mentioned in the CRZ Notification as prohibited activity.

61. Further according to the 12th respondent there are other such units involved in such activity but no steps were taken by the applicant in respect of the same. None of the units involved in washing or cleaning the fishes have obtained any consent from the Pollution Control Board in that area and the Pollution Control Board also did not take any action against such units so that shows the malafides on the part of the applicant in isolating the 12th respondent alone which strengthen their case that since they were not amenable to the illegal demands of money made that such an application has been filed. Further this is being carried on from there since long time and under Section 14 of the National Green Tribunal Act, 2010 the application will have to be filed within 6 months with extended period of not exceeding 60 days and as such the application is not maintainable and barred by limitation.

62. It is true that under Section 14 (3) of the National Green Tribunal Act, 2010 it was mentioned that the application has to be filed within 6 months from the date of cause of action first arose and Tribunal was given liberty to condone the delay of not exceeding 60 days if it is satisfied with sufficient reasons projected by the applicant for not filing the application within that time. Under section 15 of the National Green Tribunal Act, 2010 the time limit of 5 years was given for the purpose of filing application for reliefs provided under Section 15(1) with further extended period not exceeding 60 days. There the word used also the cause of action first arose. It may be mentioned here, in the case of violation of conditions of environmental laws and if it is continuing, then each violation of such continuous will amount to fresh cause of action and the applicant is entitled to file the application from such recurring cause of action and the period of limitation will have to be reckoned from that recurring cause of action. In this case, the case of the applicant was that the 12th respondent had not obtained any consent from the Pollution Control Board for conducting the unit and it is a prohibited activity under the CRZ notification it is being carried on by them and even if it is a permissible activity, if the case of the 12th respondent is admitted, they will have to obtain clearance from the Coastal Zone Management Authority for conducting such regulated or permitted activity which has not been done. So under such circumstances, since it is a violation continuing and certain acts were done in violation of the provisions of the environmental laws and the prayer required was to remove the illegal construction and restore the environment, then the period of limitation is not 6 months but it is 5 years under Section 15 of the National Green Tribunal Act, 2010.

63. Further it is seen from the documents produced by the 12 th respondent himself that when the complaints were made in 2017, the Pollution Control Board inspected the area and directed the 12th respondent to obtain the clearance required but only in 2018 the closure order was issued by the Pollution Control Board. So under such circumstances, even after the directions issued the 12th respondent had not complied with the conditions and only after filing of the application in 2017 some action was taken by the Pollution Control Board and as such the cause of action first arose can be taken from the date of inaction on the part of the Pollution Control Board in not proceeding further and continuous illegal action in spite of the direction given by the Pollution Control Board and as such the application is within limitation.

64. As regards the illegal motive suggested against the applicant that since the 12th respondent was not amenable for the illegal money demand made of huge amounts, namely, 30 lakhs and 2 crores that the application has been filed is not substantiated by any evidence before the Tribunal except the allegations made in the counter statement which was filed after 5 years of filing the application which was denied by the applicant by filing rejoinder to the same. Moreover, whatever be the motive, the issue that needs to be examined is whether there is any violation of environmental laws and any damage to the environment by the acts of the 12th Respondent.

65. Even assuming that there are other units and the applicant had chosen the 12th respondent alone will not disentitle the applicant from proceeding against the 12th respondent if the violations are grave in nature and in total contravention of the environmental laws.

66. Merely because some other units are also functioning in violation of the environmental laws that will not entitle the 12th respondent to carry on their business or activity in violation of the environmental laws. So as such the contention made by the Learned Counsel for the 12th respondent that the application is not maintainable and it is barred by limitation is without any substance and the same is rejected.

67. Before going into the question on facts let us consider the provisions of the CRZ Notification dealing with this issue. The CRZ Notification was first issued in the year 1991 on the basis of the direction given by the Hon ble Supreme Court when the CRZ activities were not properly regulated and that was issued by MoEF&CC by notification S.O. 114 (E) New Delhi dated 19.02.1991 as Coastal Regulation Zone Notification, 1991. By this notification the high tide line and low tide line were fixed and no development zone was also fixed under the notification. Section 2 of the 1991 notification deals with the prohibited activities and by virtue of clause II Sub-Clause-III of 1991 notification prohibits Setting up and expansion of fish processing units with the proviso which was added by S.O (E) No. 415 dated 06.06.2007 which reads as follows:

"Setting up and expansion of fish processing units including warehousing (excluding hatchery and natural fish drying in permitted areas): Provided that existing fish processing units for modernisation purposes may utilise twenty five per cent additional plinth area required for additional equipment and pollution control measures only subject to existing Floor Space index/ Floor Area Ratio norms and subject to the condition that the additional plinth area shall not be towards seaward side of existing unit and also subject to the approval of State Pollution Control Board or Pollution Control Committee"

68. So setting up a new unit of fish processing including warehousing and its expansion of the existing units is not permissible in CRZ Zone but for the existing unit certain exemption has been granted for modernisation with certain conditions.

69. Clause 3 of the said notification deals with regulation of permissible activities by obtaining clearance and Sub-Clause II of Clause 3 deals with permitted activities which require environmental clearance for this purpose. Where under Clause 3(II)(iii) housing scheme in CRZ area as specified in

Sub-Para- II of Paragraph 6 is permissible and this was inserted as per S.O.(E) 550 dated 21.05.2002. Even as per CRZ Notification, 1991 setting up or expansion of fish processing unit including warehouse except hatcheries and fish drying in the permitted area are prohibited and even for existing units though exempted from action but certain restrictions have been made for modernisation of the existing units and such units have to follow certain things provided therein.

70. Though, housing schemes are permissible under the CRZ areas, it is only a regulated activity and clearance have to be obtained under the CRZ clearance of 1991 even at that time. Under the CRZ Notification, 2011 which came into existence by S.O. No. 19(E) dated 06.01.2011 certain modifications were made in the 1991 notification and Clause 3 para-3 of notification deals with prohibited activities and there also under Sub-Clause iii of Para 3 Setting up and expansion of fish processing units including warehousing except hatchery and natural fish drying in permitted areas is a prohibited activity. There not even further expansion as permitted by proviso in 1991 notification was provided. Para-4 of the notification deals with the regulation of permissible activity in CRZ area and by virtue of para-4 (i)(c) Housing schemes in CRZ as specified in paragraph 8 of this notification is permissible activity and construction more than 20,000 sq meter built up area in CRZ-II has to comply with the EIA Notification, 2006 apart from getting clearance by virtue of Para-4(i)(d). Clause-7 provides the classification of CRZ-I to CRZ-V and Para-8 of the CRZ Notification, 2011 deals with norms for regulation of activities permissible under this notification in all the classified zones. In Para-8 in respect of CRZ-II in Clause (VIII) and (i) building shall be permitted only on the landward side of the existing road or on the landward site of authorised existing structures. 8(2)(ii) which was substituted by S.O. 1599 (E) dated 16.06.2015. Buildings permitted on the landward side of the existing and proposed roads or existing authorized structures shall be subject to the existing local town and country planning regulations including the „existing norms of Floor Space Index or Floor Area Ratio: Provided that no permission for construction of buildings shall be given on landward side of any new roads which are constructed on the seaward side of an existing road: provided further that construction of CRZ-II area in Goa, Kerala and Mumbai shall be governed by the provisions of Clause IV of Para-8.

71. Sub-Clause-iii of Clause 8(II) reconstruction of authorized building to be permitted subject to the existing Floor Space Index or Floor Area Ratio Norms and without change in present use. It is clear from the permission granted under Clause VIII is only in respect of residential buildings for housing purposes and not for any commercial purpose. Para-3 and Para-8 deals on different footings and in respect of permitted as well as regulated activities and while considering the same the same will have to be strictly constructed.

72. Under Para-8(III)(B)(vii) deals with permitted activities which reads as follows:

Construction or reconstruction of dwelling units so long it is within the ambit of traditional rights and customary uses such as existing fishing villages and goathans. Building permission for such construction or reconstruction will be subject to local town and country planning rules with overall height of construction not exceeding 9mts with two floors (ground and one floor);

73. There also there is restriction that second floor is not permissible in CRZ-III area.

74. From the above notifications and clauses referred to, it is clear that any setting up or expansion of fish processing unit including warehouse is a prohibited activity and as regards the existing units under 1991 notification certain exemptions were granted for modernisation with certain restrictions and getting permission from the Pollution Control Board. Even for construction of houses under the housing schemes or for residential houses under Clause 8 permission will have to be obtained from the authorities under the CRZ Notification. So any construction made in violation of the provision will amount to violation of CRZ Notification which is liable for action under the said notification read with provisions of the Environmental (Protection) Act, 1986 and other environmental laws.

75. So it is clear from the above provisions of CRZ Notification that only those activities permitted under Para-3(iii) can be carried out in CRZ area and only those activities permitted under Para- 4 and Para-8 alone will be regulated/permitted activities which can be carried out after obtaining clearance from the CRZ authorities. Anything done in contra to the same will be violation of the CRZ Notification. In this case the case of the applicant was that construction itself was made without obtaining any CRZ Clearance in the CRZ area. Even according to the 12th respondent the fact that it is a CRZ Zone either falling under the CRZ-II or CRZ-III is not in dispute so submission made by the Learned Counsel for the 12th respondent that since it is separated by a road, CRZ notification will not apply cannot be accepted.

76. In the decision report in Kerala State Coastal Zone Management Authority vs. State of Kerala Maradu Municipality and Ors.²⁰ the Hon ble Apex Court has held that if there is any violation of CRZ Notification and any construction was made in the CRZ zone without getting prior clearance such violation will have to be seriously dealt with and in that case the Hon ble Apex Court has ordered demolition of the building which was constructed in violation of the CRZ Notification and that was directed to be carried out as well. In the decision report in M/s Pahwa Plastics Pvt. Ltd and Anr. Vs. Dastak NGO and Ors.²¹ the Hon ble Apex Court had observed that ex-post facto clearance under the Environmental laws can be granted in appropriate cases under exceptional circumstances. It was also observed therein that ex-post facto clearance should not be granted routinely but in exceptional circumstances taking into account the relevant environmental factors where adverse consequences of denial of ex-post facto approval outweigh the consequences of regularisation of operations by grant of ex-post facto approvals and the established concern otherwise conforms to the requisite pollution norms ex-posto facto approvals should be given in accordance with law in strict conformity with the applicable rules, regulations and/or notifications. The deviated industry must be penalised by an imposition of heavy penalty on the principle of polluter pays and the costs of restoration of environment may be recovered from it.

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77. In *Electrosteel Limited vs. Union of India* ²² it was observed that the ex-post facto environmental clearance should not be ordinarily be granted and certainly not for the asking. But at the same time the ex-post facto clearance and/or approvals and /or removal of technicalities in terms of notifications under 1986 Act cannot be declined with pedantic rigidity, oblivious of the

consequences of stopping the operation of the running steel plant and the Hon ble Apex Court also observed that 1986 Act does not prohibit ex-post facto Environmental Clearance. There are conflicting views on these aspects. However, we are not going into the aspects in this case. Further in the Electrosteel Limited case the Hon ble Apex Court also considered the question of granting ex-post facto clearance on the basis of the office memorandum issued by the MoEF&CC dated 07.07.2021 which was stayed by the Hon ble Madras High Court of Madurai Bench in some of the writ petition challenging that office memorandum. But the Hon ble Apex Court in that case observed that that will apply only to State of Tamil Nadu and other States will not be affected by stay order and authorities can consider the ex-post facto applications on the basis of the office memorandum in accordance with law.

78. Even that decision would be applicable only if the ex-post facto clearance is sought for, for a permitted activity under the said laws including CRZ Notification and if it is not permissible, then there is no question of granting any CRZ Clearance of the ex- post facto nature granting arises.

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79. In the decision reported in Citizen Consumer and Civil Action Group Vs. Union of India²³ the Hon ble High Court of Madras observed that permission granted by the CMWA on the basis of the direction given by the Single Bench was challenged by the appellant and Hon ble Madras High Court observed that construction activity is beyond 500 meters from the H.T.L and as such CRZ Notification will not be applicable and dismissed the appeal. In that decision it was observed that before parting with this Judgement we may observe that while the Courts have social accountability in the matter of protection of environment, there should be a proper balance between the protection of environment and developmental activities which are essential for progress. There can be no dispute that the society has to prosper but it shall not be of the expense of environment. Therefore a balance has to be struck and administrative action ought to proceed in accordance therewith and no de-hors the same. Construction making on the landward side is only a permissible activity if it is within the CRZ Notification separated by a road but it will not exclude the provisions of CRZ notification even as per this decision.

80. In the decision reported in Citizens Interest Agency vs. Lakeshore Hospital & Research Centre Pvt. Ltd.²⁴ the challenge was regarding the validity of National Coastal Zone Management Plan issued by State of Kerala and also in respect of construction made by the 1st respondent violating the CRZ 2002-3-L.W.393 2003 (2) KLT 424 Notification. In that case, the construction was approved by the Hon ble High Court on the ground that there was evidence to show that the CRZ Notification will be applicable to that area and the construction was undertaken in 1997 and completed in 2000 and the Writ Petition was filed in 2003 so the latches on the part of the applicant in filing the application was taken as a ground to dismiss the application and it was also observed in the decision that since there was no opinion made on merit the right of the applicant to challenge the same before the appropriate forum on legal grounds was left open and the Writ Petition was dismissed as withdrawn with above liberty. So it cannot be said that it gives an indication that merely because it was divided by a road there is non-applicability of CRZ notification as contended by the Learned Counsel for the 12th respondent.

81. In the decision reported in Institute of Social Welfare Vs. State of Kerala and ors.²⁵ when a public interest litigation was filed seeking for a writ of mandamus commanding the official respondents therein to take immediate measures for prohibiting all construction activities in Cochin Marine Drive area and give direction for demolition of buildings which have been constructed in excess of the area ratio prescribed in Kerala Building Rules, 1984 in the Cochin Marine Drive area. As it was done against the provisions of CRZ Notification and against the provisions of the Environment (Protection) Act, 1986. This was opposed by the respondents on the ground that there is road of 1997 SCC Online Ker 285: 1997(2) K.L.J. 153 12 meters in width in between the sea wall and the constructions which are already there or proposed to be raised under the CRZ Notification there is no prohibition in using the land as has been done in Cochin Marine Drive. The question considered in that case was as to whether the constructions of building under dispute were made in violation of the restrictions imposed in the relevant notification relating to CRZ- II. Since, it was a permissible activity under the CRZ Notification it was observed that it cannot be said to be a violation. It was further observed in the same decision that if there is any violation the State Government authorities are at liberty to take action in accordance with law. Certain exemptions were granted under building rules that was also considered by the Division Bench and it was held that the authorities have the powers under the rules granting exemption and that power is reasonable. The Hon ble High Court did not go into the question as to whether any CRZ clearance is required and whether construction was made without CRZ Clearance or not. So it cannot be taken as a decision to come to the conclusion that any construction made in CRZ-II without obtaining clearance from the CRZ notification is valid as contended by the Learned Counsel for the 12th respondent. Any contra view taken in those decisions after Kerala Maradu Municipality s case referred to above is not good in law even if it is treated for the proposition that constructions had to be rectified even if it is constructed in violation of the CRZ Notification on the basis of the permission granted by the local bodies.

82. The 12th respondent had produced a sale deed dated 12.07.2002 said to have been executed between J. Rathinaraj the previous owner of the disputed building in favour of M. Murieas, father of the Managing Director of 12th respondent concerned and in the schedule to the property it was described as shed measuring 1300 square feet bearing no. 11, New Thiruvalluvar Nagar, Kasimedu, Chennai- 600013 together with the leasehold right over the land upon which the shed stands situated within the jurisdiction of Royapuram Sub-Registry, including the electricity service connections and other connection as available therein, it was not a registered document.

83. Further, it was only mentioned as a shed and not a concrete building. Taxes are being paid for this building by the 12th respondent from 1997 onwards to show that the building was in existence at least from 1997 but it is not known as to when it was constructed. 12th respondent has not produced any document to show that when this was constructed, when the 1st floor was constructed, whether it was after obtaining necessary permission for reconstruction from the authorities. Certificate of Registration by the Marine Products Export Development Authority and Zonal Director General of Foreign Trade issued in favour of 12th respondent showing the office address as disputed site with building number of the disputed building. The Export Inspection Council also issued a certificate of approval to the 12th respondent for export of fresh, frozen and processed fish and fishery products for the purpose of packing of fresh/chilled fishery products and freezing of raw

fish and fishery products. All these things will go to show that he is doing all the work from this property only. Though he had stated that processing work is being done from their unit at Periyapalayam but no document has been produced by the 12th respondent in this regard. Another license was produced in respect of a factory in Door No./Plot No. 90, Periyapalayam Road, Kanigaipair Village, Uthukkotai Taluk, Thiruvallur District but it is not said what is the nature of work done in that premises and what is the purpose for which the license was granted. The burden is on the 12th respondent to show that the constructions were made in accordance with law after obtaining necessary permission and the building as it stands is in existence even prior to 1991 when the CRZ original notification came into force. Such evidence was not adduced on the side of the 12th respondent in spite of opportunities given to them to prove this fact. The case of the 12th respondent was that the ground floor was in existence and only the 1st floor and 2nd floor was constructed after 1991. Even according to him the 1st floor was also constructed prior to 1991 but there was no documents produced by the 12th respondent to prove this fact. So under such circumstances, the submission made by the Learned Counsel for the 12th respondent that the ground floor and the 1st floor were in existence prior to CRZ Notification, 1991 came into force cannot be accepted in the absence of any acceptable evidence adduced from his side to prove this fact. So it can only be presumed that the construction was made in the property in violation of the CRZ Notification without obtaining necessary clearance even assuming that it was for purposes other than the purpose prohibited under the CRZ Notification. Further construction was permissible in CRZ area only for housing schemes and not for any other purposes, even if it is treated to be permissible activity under Para-8 of the CRZ Notification, 2011.

84. Then, the question as to whether it is a permissible activity and whether the activity that has been carried on by the 12th respondent can be treated as a processing unit which is a prohibited activity under the CRZ Notification. According to the 12th respondent, there was no processing activity and they were only grading and packing the fresh fish and the other processing activity was being carried out in their other unit at Periyapalayam. He had relied on the decision report in Regional Executive, Kerala Fishermen's Welfare Fund Board vs. Fancy Food and anr.²⁶ For this proposition, the question that arose for consideration in that case was that whether the activity of the 1st respondent would attract the provisions of Kerala Fishermen's Welfare Fund Act, 1985 or not and whether the person who was dealing in processing before it is being exported is liable for contribution. The Hon'ble Apex Court 1995 (4) SCC 341 observed that anything done making the fish fit for export will be a dealer coming under the above said provisions and they are liable to pay the contribution. In Marine Products Export Development Authority Act the processing was defined which includes canning, freezing, drying, salting, smoking, peeling or filleting etc. Though the Hon'ble Apex Court had observed that a definition given in another Act cannot be imported for another purpose but it can be considered to explain as to what the processing in relation to marine products. The dictum laid down in Delhi Cold Storage (P) Ltd Vs. CIT²⁷ wherein it was observed that processing means bringing out a different substances than what the material was at the commencement of the process. The same was reconsidered by the Hon'ble Apex Court in CCE Vs. Rajasthan State Chemical Works²⁸ where it was observed that the word processing was given a wider meaning in fact both the decision were concerned with the use of word processing in different context. They cannot furnish any guide for determining whether the word processing for export should be understood in the sense as urged by the Learned Counsel for the respondent of bringing

out a new commodity. As stated earlier, the word processing is a word of wide amplitude. It can have various shades of meaning. It is always open to the Legislature to give a meaning different from the dictionary meaning. In the context it has been used it does not appear that the Legislature intended that the goods after 1991 (4) SCC 239 (1991) 4 SCC 473: AIR 1991 SC 2222 processing must be a different from that which was processed. Such construction would be defeating the object of the Act.

85. In the decision report in Commissioner of Income Tax Vs. Interseas²⁹ the question as to whether assessee is liable to pay tax for the goods purchased by the assessee, namely, processed sea foods which is meat obtained from prawns, lobsters, shell fish etc. after removing their head tail shell and other inedible portions fall within the definition of fish products entitled the assessee to get the benefit of exemption from the operation of Section 40A(3) of Income Tax Act provided under Rule 6DD(f)(iii) of the IT Rules and the Hon ble Kerala High Court came to the conclusion that the question to be considered is as to whether it was a manufactured products of fish or processed fish and even the manufactured products of fish are covered by the exemption clause and that benefit must be given. In most of tax cases the question as whether the particular activity will amount to manufacture or not and the question as to whether the processing mentioned therein was said to be not an act of manufacture as no different product is being given.

86. In the decision reported in CEE vs Therapy International³⁰ the Hon ble Apex Court has held that whenever a commodity undergoes a change as a result of some operation performed or in regard to it such operation would amount to processing of commodity. In the decision in Commissioner of Income Tax New 2009 SCC Online Ker 6784: (2010) 233 CTR 77 2010 9 SCC 103 Delhi-IV Vs. M/s Gitwako Farma (I) Pvt. Ltd³¹ it was held pre- processing and processing i.e. operation of grading, washing, deheading, packing and loading of fish amounts to process.

87. Further, CRZ Notification is intended for the purpose of protecting certain activities to be carried out in CRZ area by the traditional fishermen community in a traditional manner which they may be doing in an environmental friendly manner as they were aware of the fact that any type of pollution generated by them in a large scale will affect their livelihood and it is because of that such small scale activities by the fishermen was permitted to be carried out in the CRZ area.

88. In the decision reported in Saraswati Sugar Mills Vs. Haryana State Board ³², the word used in processing as defined under Section 3(1) of Marine Products Export Development Authority Act, 1972 was considered and observed that any one of the methods provided therein for the purpose of considering the question of processing will amount to processing and processing as generally understood in marine, agricultural products and industries is an action, operation or method of treatment applying it to something which is refining, development and preparation or converting of material especially which is in raw stage into marketable form. So anything done for the purpose of making it to marketable one will amount to processing. It was also observed that processing is essential effectuates its form, contour, physical appearance 2011 SCC Online Del 899: (2011) 332 ITR 471 1992 1 SCC 418 or chemical combination or otherwise by artificial or natural means and in its more complicated form involves progressive action in performing, producing or making something.

89. In the decision reported in Commissioner of Central Excise, Chennai II Commissionerate vs. Tarpaulin International and or connected cases³³ it was observed that whenever a commodity undergoes a change as a result of some operation performed on it or in regard to it such operation would amount to processing of the commodity. But in the decision report in India Cine Agencies Vs.CIT³⁴ it was observed that it is only when a change or series of changes takes the commodity to the point where the commercially it can no longer be regarded as a original commodity but instead it is recognised as new and distinct article that a manufacture can be said to take place. So there is a difference between a word manufacture and processing and any type of processing made for the purpose of making it a marketable commodity not in a different form will fall under the definition of processing.

90. The word „process or „manufacture relied on by the Learned Counsel for the project proponent or by the Learned Counsel for the applicant is relating to statutes as to whether that process will amount to manufacture or otherwise. In the absence of any definition in the statutes on the basis of which action will have to be taken on these aspects, the meaning of the word mentioned in the fiscal statutes cannot be imported to these (2010) 9 SCC 103 (2008) 17 SCC 385 aspects. However, the Tamil Nadu Pollution Control Board and the Joint Committee have, based on the inspection, come to the conclusion that the respondent had involved in processing which is a prohibited activity.

91. Further burden is on the project proponent to prove that it is a permissible activity and not a prohibited activity. No such evidence is adduced from his side especially when in the environmental issues, it is a reverse burden and the burden will have to be discharged by the person who claims that he has not committed any violation. Further, what activity was carried on by the predecessor of the 12th respondent prior to 1991 was also not established by the project proponent so as to claim the benefit of exemption provided under CRZ Notification.

92. So under such circumstances, we are accepting the findings of the Pollution Control Board as well as the Joint Committee that the 12th respondent was carrying out a prohibited activity and the construction was also in violation of CRZ Notification, 2011. Further the closure order issued by the Pollution Control Board was not challenged by the 12th respondent and that has become final as well. So, the 12th respondent is not now entitled to contend that the activity carried on by him was permissible and no action against him is warranted as claimed by the applicant.

93. In order to attract Water (Prevention and Control of Pollution) Act, 1974, Section 2(dd) defines "outlet" includes any conduit pipe or channel, open or closed, carrying sewage or trade effluent or any other holding arrangement which causes, or is likely to cause, pollution. Trade effluent is defined under Section 2(k) which includes any liquid, gaseous or solid substance which is discharged from any premises used for carrying on any industry, operation or process, or treatment and disposal system other than domestic sewage. So once the trade effluent is generated from the industry or during their operation, then provisions of the Water (Prevention and Control of Pollution) Act, 1974 will be applicable and as such the 12th respondent unit will come under the premise of obtaining consent for operation.

94. It is seen from the report and also admitted by the 12 th respondent that they were discharging untreated effluent into the CMWSSB sewer system without treatment and the show- cause notice was issued on 03.10.2017 and subsequently, since it was not complied with, the closure notice was issued in 2018 and that closure order was not challenged by the 12th respondent and it has become final. So the 12th respondent is not entitled to content that they are not coming under the purview of consent mechanism under the Water (Prevention and Control of Pollution) Act, 1974 and they are not involved in processing which is a prohibited activity and that contention of the 12th respondent is liable to be rejected for the reasons stated above.

95. The Pollution Control Board assessed compensation of Rs. 30 lakhs on the basis of number of days of violations from the date of its detection. Since we are satisfied with the manner in which the compensation was calculated by the Pollution Control Board and the show cause notice was issued and that was also not challenged and we are confirming the amount of compensation imposed and according to the applicant the amount has been remitted by the 12th respondent. If it is not remitted, then Pollution Control Board is at liberty to recover the amount from them. So under such circumstances, we feel that the application can be disposed of as follows:

- i. The 12th respondent had carried out the activity in CRZ Zone, without necessary consents (which is a prohibited activity) and since the Pollution Control Board had already issued closure order and the unit has been closed and electricity supply disconnected, there is no necessity to issue any further direction of closure and disconnection of electricity as it is seen from the report of the Pollution Control Board the same has been effected and unit was not in operation.
- ii. The disputed construction was made in violation of the CRZ Notification without obtaining necessary clearance and the Coastal Zone Management Authority is directed to take appropriate action against the 12th respondent including demolition of the building which was constructed in violation of the CRZ Notification in accordance with law.
- iii. We are confirming the amount of compensation imposed, namely, Rs. 30 lakhs for violation committed by the 12th respondent and if the amount is not paid by the 12 th respondent, then the Pollution Control Board is directed to recover the amount from the 12th respondent by initiating proceedings for recovery in accordance with law.
- iv. Pollution Control Board is directed to monitor as to whether the 12th respondent is doing any activity without obtaining necessary consent or other permissions in the premises and if it is found so, then they are at liberty to take appropriate action against the 12th respondent including imposing of further Environmental Compensation apart from taking further action as provided under the respective statutes.
- v. The contention of the 12th respondent that the application is not maintainable and it is barred by limitation and they are not covered under the CRZ Notification and

Water (Prevention and Control of Pollution) Act, 1974 are rejected.

vi. The Pollution Control Board is directed to inspect the area in question to identify whether any other units are functioning in the Zone without necessary environmental clearance/permission and take necessary action as per law.

vii. Though some of the allegations raised in the application were found to be true, it is also noted that certain vague allegations were made which does not speak well of the intentions of the applicant. He is advised to be cautious in future when attempting to bring violations of environmental laws in appropriate forums by giving the entire facts in the application.

96. The points are answered accordingly.

97. In the result, the application is allowed in part and disposed of with following directions:

I. The 12th respondent had carried out the activity in CRZ Zone, without necessary consents (which is a prohibited activity) and since the Pollution Control Board had already issued closure order and the unit has been closed and electricity supply was disconnected, there is no necessity to issue any further direction of closure and disconnection of electricity as it is seen from the report of the Pollution Control Board the same has been effected and unit was not in operation.

II. The disputed construction was made in violation of the CRZ Notification without obtaining necessary clearance and the Coastal Zone Management Authority is directed to take appropriate action against the 12th respondent including demolition of the building which was constructed in violation of the CRZ Notification in accordance with law.

III. We are confirming the amount of compensation imposed, namely, Rs. 30 lakhs for violation committed by the 12th respondent and if the amount is not paid by the 12th respondent, then the Pollution Control Board is directed to recover the amount from the 12th respondent by initiating proceedings for recovery in accordance with law.

IV. Pollution Control Board is directed to monitor as to whether the 12th respondent is doing any activity without obtaining necessary consent or other permissions in the premises and if it is found so, then they are at liberty to take appropriate action against the 12th respondent including imposing of further Environmental Compensation apart from taking further action as provided under the respective statutes.

V. The contention of the 12th respondent that the application is not maintainable and it is barred by limitation and they are not covered under the CRZ Notification and

Water (Prevention and Control of Pollution) Act, 1974 are rejected.

VI. The Pollution Control Board is directed to inspect the area in question to identify whether any other units are functioning in the Zone without necessary environmental clearance/permission and take necessary action as per law.

VII. Though some of the allegations raised in the application were found to be true, it is also noted that certain vague allegations were made which does not speak well of the intentions of the applicant. He is advised to be cautious in future when attempting to bring violations of environmental laws in appropriate forums by giving the entire facts in the application.

VIII. Considering the circumstances, the parties are directed to bear their respect costs in the application.

IX. The registry is directed to communicate this order to the District Collector, Chennai, State Coastal Zone Management Authority, Chairman, Tamil Nadu Pollution Control Board and the concerned District Environmental Engineer for their information and compliance of the directions.

98. With the above directions and observations, the above application is disposed of.

.....J.M. (Justice K. Ramakrishnan)E.M. (Dr. Satyagopal Korlapati) O.A. No.234/2017(SZ) 8th July, 2022 AM.